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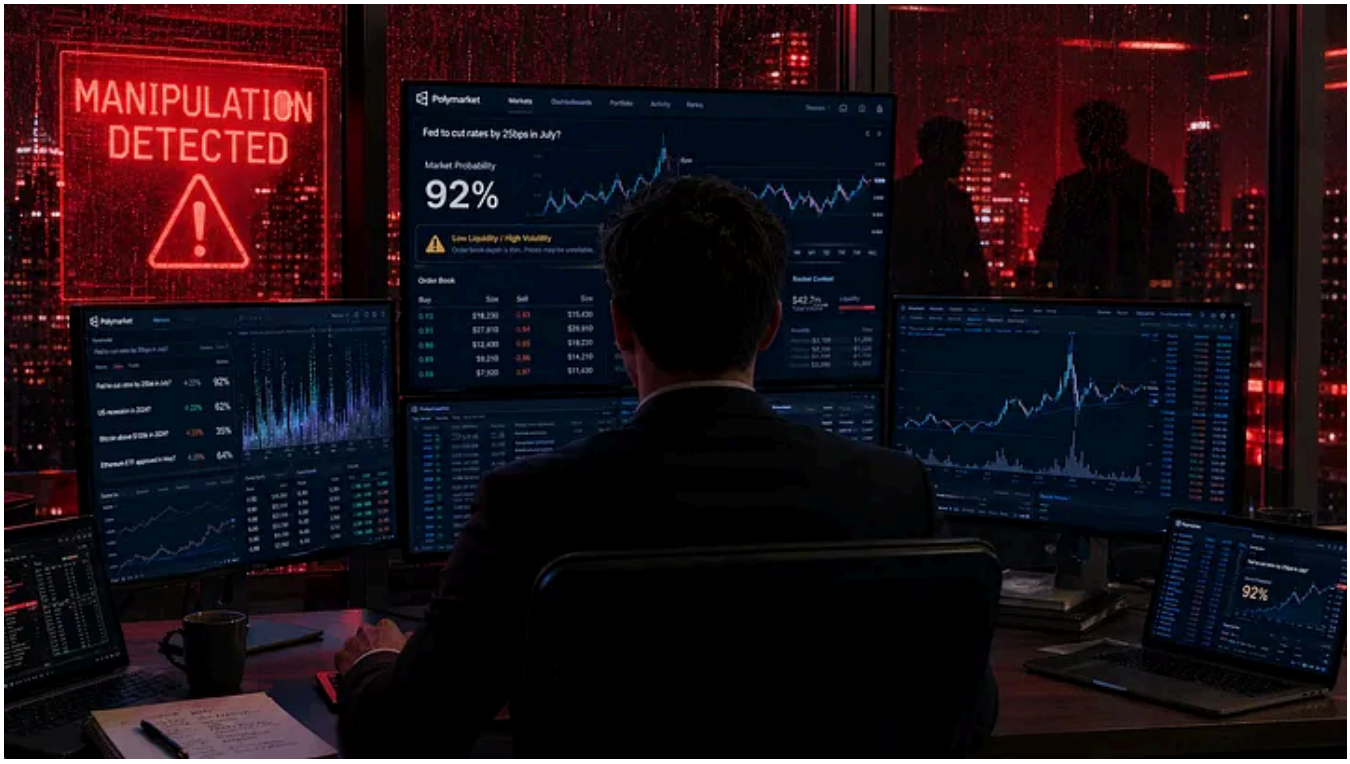

Prediction Markets Are Broken

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Brazil just banned prediction markets, and it won't be the last country to do so. The idea of leveraging the "wisdom of the crowd" is genuinely interesting and has some real-life use cases, but there's a huge structural problem: When people bet on the outcome of events they can directly influence, manipulation is bound to happen.

Brazil Bans Prediction Markets and It's Not Alone

Brazil has banned prediction markets, leading to blockchain-based platforms like Polymarket and Kalshi shutting down nationwide.

The country's central bank, Banco Central do Brasil, and the National Monetary Council published Resolution №5,298 yesterday. It strictly prohibits derivative contracts linked to sports, politics, gaming, cultural events, and social outcomes. Regulators cite concerns regarding investor protection, market integrity, as well as arbitrage and speculation that may be "harmful to investors and detrimental to the public interest."

Brazil is the third country in Latin America to ban prediction markets, following the footsteps of Argentina and Colombia. Countries all over the world have been restricting access to prediction markets in various ways. Here, Portuguese regulators have also blocked access to Polymarket earlier this year. According to its own documentation, Polymarket is blocked in more than 30 countries.

In the United States, individual states have also tried to ban prediction markets. However, the Commodity Futures Trading Commission (CFTC) has pushed back on these bans and sued Arizona, Illinois, and Connecticut for restricting access to platforms like Polymarket and Kalshi.

The regulatory scenario in the US is incredibly shady. Donald Trump Jr. is an investor in Polymarket and an adviser to both Polymarket and Kalshi. The president himself, when asked about the insider trading scandal plaguing the industry this week, said, "The whole world, unfortunately, has become somewhat of a casino." It's a blatantly accurate observation from someone whose family is profiting from said casino.

The People Gaming the System

Prediction markets have a huge structural problem: When people can bet on the outcome of events they can directly influence, manipulation is bound to happen.

The most original example of said manipulation comes from Paris, and it took place earlier this month. Polymarket paid $14,000 on April 6 and $20,000 on April 15 following bets that the temperature in Paris would exceed specific thresholds that

were highly unlikely to be surpassed. Both wins came after an unusual temperature spike at a single Météo-France sensor at Charles de Gaulle Airport.

Meteorologists concluded that natural causes were not a plausible explanation. The leading theory is that someone physically exposed the sensor to an unknown heat source, possibly a cordless hair dryer. Polymarket did not refund anyone who lost money on these markets, and their response was to switch the resolution source to a different airport.

Then there was the Grammys. Trevor Noah, hosting the 2026 Grammy Awards in Los Angeles, stopped mid-sentence and said the word "potato" several times. He then turned to the camera and said, "If you had me saying 'potato' on Polymarket, you just made a ton of money. So congratulations, @noah_22, whoever that is."

Polymarket had been running a live market on which words would be spoken at the Grammys. "Potato" was not actually one of the listed options, which means no one could have legitimately bet on it, and the whole thing was a joke. But the joke landed because it was structurally accurate.

Not all examples are as "cute" as the ones I've described. Back in December, 2025, a US Army Special Forces Master Sergeant who involved in planning Operation Absolute Resolve created a Polymarket account. Between December 27 and January 2, he placed several bets totaling roughly $33,000, all taking "yes" positions on whether the US would invade Venezuela, whether Maduro would be removed by January 31, and whether Trump would invoke the War Powers Act. He won $409,000.

After Trump announced the capture of Venezuelan leader Nicolás Maduro, the Master Sergeant allegedly attempted to have his Polymarket account deleted, claiming he had lost access to his email. Despite this, the DOJ charged him with unlawful use of confidential government information, commodities fraud, and wire fraud.

Why the Model Is Broken Right Now

The theoretical argument for prediction markets is real: when a large group of people puts money behind their beliefs, they tend to be more accurate than any expert. The 2024 US presidential election results, which Polymarket called accurately well before traditional forecasters, gave the industry a credibility boost it is now trading on aggressively.

But the model only works when the people betting on an outcome cannot easily influence it. That condition does not hold for a growing percentage of the markets these platforms offer, especially when these contracts can be purchased anonymously and with little regulatory oversight.

The underlying events that can be bet on in prediction markets are not independent of the people placing the bets. And unlike regulated financial markets, there are no real-time surveillance systems, no mandatory disclosure requirements for large positions, and no consistent framework for when manipulated outcomes get resolved and when they don't.

Brazil's decision to treat these markets as illegal gambling rather than financial products seems like an extreme decision. However, the contracts that can be bought on Polymarket and Kalshi do not function like derivatives. They function like bets. Bets that can be easily manipulated.

Until there's a way to fix this, you can expect regulators to continue cracking down on prediction markets.

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